

The nitty gritty of digital payments in a post-demonetisation world

We talk to **Vishal Maru**, Head - Merchant Services, Digital Payments and Loyalty at Worldline, to get an understanding of the changing landscape of digital payments within the country.



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Q When it comes to mPOS devices, what are the changes we're witnessing in the industry?

Vishal: Things are changing quite fast. So earlier, about three to four years ago when India first started off with mPOS devices, there was a dongle which used to connect with the mobile through Bluetooth. Post-demonetisation, in the last couple of months, now we are getting integrated devices. Those are far better than the traditional mPOS because the cost of ownership of the dongle device is far more generally than an integrated device. So now in the last couple of weeks we have started to get the integrated devices which means that this device will be more like any other GPRS terminal but it will not have a charge-slip which will get printed out. Earlier you had to connect the dongle with the mobile or you had to plug the dongle in the mobile. All those hassles are going away now. It'll take some time but those will tend to go away.

Q Speaking about adoption of mPOS and digital transactions in the country, the way we see it, UPI adoption should negatively impact plastic products as well as digital wallets. Do you think that's a valid statement?

Vishal: I think we should look at history to talk about the future. In antiquity, the barter system started, and then

you got those pebbles and then coins and then came promissory notes and cheques, and now today if you look at this entire ecosystem of payments, all those old as well as new systems evolved together. It's not like somebody dethroned one of the payment channels. All of them will co-exist. Yes, of course, UPI is growing pretty fast and it is pretty convenient for the people who are non-carded and plus also who are transacting P2P payments and have a bank account. So for them UPI is definitely the most convenient option. But I don't think it'll cannibalise the entire card-based payments, to some extent here and there, which is fine. That happens with any new form factor which will come in. But nothing is going to go away.

Q What are some of the government initiatives and schemes in place to encourage card adoptions, or digital payments as a whole?

Vishal: If you look at the entire demonetisation phase, it was backed by the entire digital push. So today if you look at the card spends, they have actually gone up two times – which is now a new business normal. I've seen the digital payments space across the globe, but I haven't seen such a fast growth anywhere, so far. Second is that all this push has resulted in a scenario

wherein 70-80 percent of the usage comes from the debit card and about 25-30 percent is still on the credit card. Earlier, about 2-3 years ago, almost 80-90 percent was on the credit card and only about 10 percent was on the debit card. That's pretty helpful for merchants as well as banks because with the cap on the debit card MDR, now the competition on rates has gone away. The competition is more to deliver better service, it's more to offer value-added services, which is beneficial for the industry as a whole and consumer. Third is in the form of all the e-governance initiatives which have been taken by all the states as well as the central government where they are pushing all the government entities to accept digital payments. Fourth, is in terms of some tax benefit which has been given on the POS terminals. A customs duty has been taken off on POS devices which are imported. In the entire payments ecosystem, the POS terminal itself accounts for almost 25 percent of the overall cost. So, if there is a deduction available there, which also means, some benefit to the entire acquiring industry. **■**

For the full interview discussing Aadhaar-based biometric payments, Bharat QR, and the future of digital payments go to: <http://digit.in/dgtlecrwld>